

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**RESPONDENT'S SECOND MOTION
FOR EXTENSION OF THE SCHEDULING ORDER**

SM LINE CORPORATION ("SM Line" or "Respondent") by and through its undersigned counsel, submits this second motion for an amendment extending the current Scheduling Order dated October 30, 2023 ("Scheduling Order").

STATEMENT OF FACTS

On October 30, 2023, Hon. A. Chintella issued an Order Granting Complainant's Consent Motion for Extension of Scheduling Order. The Scheduling Order outlined on October 30, 2023 found that there was good cause for an extension given the volume of discovery, delays in production, and the need to subpoena a foreign witness. The first deadline outlined in the Scheduling Order was to complete fact depositions by January 19, 2024.

In an effort to adhere to the scheduling order, SM Line and Samsung Electronics America, Inc. ("SEA" or "Complainant") exchanged continuous communications regarding subpoenas and deposition dates. Through a coordinated effort of the parties, depositions were scheduled and, with

the exception of January 10, 2024, the depositions have in fact gone forward on daily basis between January 3, 2024, and the date of this motion.¹

Most of the depositions have been and are expected to continue to require the majority of the allotted seven hours per day. This is exceptionally true with witnesses requiring interpreters. SM Line, recognizing the time and resources needed to depose each witness, has made clear in its' communications with SEA since December 2023, that SM Line is only able to conduct a single deposition per day. In December of 2023, after numerous discussions between SEA and SM Line counsels, four depositions were set – one per day - to be held between January 16, 2024, to January 19, 2024.

On January 10, 2024, without any meet and confer, SEA re-noticed four additional depositions, attempting to schedule two depositions per day from January 16, 2024, to January 19, 2024. These additional depositions are intended to take place at the same time as the originally scheduled depositions.² SEA's notices come only six business days before the deadline to complete fact depositions (excluding the Martin Luther King, Jr. Federal Holiday). SEA has known the deposition schedule since the middle of December 2023. SM Line submits the following table detailing the original and supplemental deponents:

¹ Seven depositions have been taken since January 3, 2024. Two additional depositions had been taken in December. A settlement conference between the parties' representatives was scheduled for January 10, 2024, but SEA abruptly cancelled the meeting on January 9, 2024.

² The parties had discussions about potentially having two depositions per day with respect to 1/18/24 and on 1/19/24 only. However, an agreement could not be reached because of the schedule of the attorneys in our office, the commitments of the SM Line witnesses and because depositions on those two days involve critical senior managers. SM Line is concerned about ensuring that its counsel, Mr. Wook Chung, be in attendance of each of those depositions.

Date	Previously Scheduled Witness	Additional Witness Noticed by SEA on 1/10/2024
1/16/2024	Kwang Soo Oh (SM Line)	Katie Han (SM Line)
1/17/2024	Mike Rapske (SEA)	Ho-yoon Kim (SM Line)
1/18/2024	Phil Goedinghaus (SEA)	Kwang Kuk Choi (fact witness)
1/19/2024	Kwang Kuk Choi (Corporate Representative) (SM Line)	Jeung Choi (SEA)

This over-scheduling and delayed notice is prejudicial to SM Line. Under the new schedule for instance, Mr. Kwang Kuk Choi will be forced to testify two days in a row. Plaintiff's latest notices of the date of the deposition for the four witnesses also does not take into account whether the witnesses are available on the date noticed. SM Line counsel has confirmed that Katie Han and Ho-yoon Kim are not available on January 16 and 17, 2024. SEA has been informed of the unavailability of the witnesses.

While the witnesses are not available next week, they have indicated that they should be available the week of January 22 but would prefer to be deposed anytime the week of January 29, 2023. Furthermore, based upon the original schedule of one deposition a day, SM Line's counsel has had an extremely difficult time to attending the deposition of the daily witnesses, and also preparing for the depositions of the next day witnesses. If two depositions are taken in a day in accordance with SEA's notice, which are to be done at or almost at the same time, SM Line will not be able to adequately cover both sets of depositions and both sets of preparation. Moreover, based upon the existing schedule, the attorneys for SM Line have coordinated their calendars and previously made commitments to other legal proceedings, including courts, the US Coast Guard, and other clients to attend to their cases needs as well. We simply cannot tell judges, government officials and other clients that we cannot attend previously, scheduled or planned hearing, meeting or depositions

simply because SEA has suddenly decided in this proceeding, at the last minute, to take two simultaneous depositions starting next week.

We tried to explain this issue to SEA's counsel on January 10, 2024, during a meet and confer call. While we believe that SEA's counsel understood the issue and was sympathetic, SEA's counsel anticipated that his client will not agree. SEA stated at the end of the meet and confer that they will object to a further extension of the scheduling order.

In addition to the complications of the deposition schedule, SM Line is filing its' Response to Non-Party Samsung SDS America, Inc.'s ("SDSA") Motion to Quash or Modify Subpoena, or Alternatively for a Protective Order ("Motion to Quash"). If the Commission approves SM Line's subpoena to go forward, SM Line will also require additional time to confront this proceeding as well.

Lastly, we note that the experts are expected to have their reports and testimony complete by February 9, 2024. That is, unrealistic. The experts need to be able to read the transcripts of all the witnesses and review all of the documents identified by the witnesses during those depositions. The parties are requesting and producing additional documents that were mentioned and requested during the depositions. The reports then have to be written, reviewed and approved by counsel and the client, exchanged, and then rebuttal reports prepared. Only after that exhaustive effort is completed, and the experts have an opportunity to absorb the opposing party's reports, can the depositions of the individual experts begin. The issue of the expert discovery timeline was raised with opposing counsel for the first time in a meet and confer on January 12, 2024. Opposing counsel stated that they are seeking instruction from their client.

THE COMPLEXITY OF THE MATTER

WARRANTS AN ADDITIONAL EXTENSION OF THE SCHEDULING ORDER

In its' August 16, 2023 Motion for Extension of Scheduling Order, SM Line described how this dispute is by no means a routine or simple case and sought flexibility from the Commission's uniform time period for discovery under 46 C.F.R. §502.141(g). SM Line emphasized that this dispute involves more than three (3) years of sailings between the Far East and the United States, which in real terms involves *tens of thousands of shipments*, thousands of pages of documents, several depositions, and foreign language translation of documents. The Commission previously recognized that this dispute is not routine nor simple, and ordered an extension of the Scheduling Order. SM Line is respectfully asking the Commission to do so once again because accomplishing two depositions per day at the end of the discovery period is excessive and extraordinary.

In sum, SM Line respectfully submits that the complexity of this case, the difficulties created by SEA and its' counsel, and the doctrine of fairness, warrant additional flexibility to complete discovery. Fairness is not just an issue for SM Line. It is an issue for SEA and the Commission as well because inadequate time to prepare for and depose witnesses may result in an omission of pertinent information that the Commission and parties could have relied upon, leading to a loss of further settlement opportunities, and impacting the quality and quantity of facts and testimony in which the Commission can rely upon in making its' decisions.

SM Line acknowledges the admirable goal set out by the Commission in order to ensure the prompt resolution of claims and disputes administered by the Commission; one which the deadlines for issuance of initial and final decisions are intended to achieve. SM Line also acknowledges how Scheduling Orders are an important part of this process and are not taken lightly. However, in recognition of the importance of fairness, it is not unusual for the deadlines for completion of discovery and/or for the issuance of initial and final decisions to be extended by

administrative law judges and the Commission, and for Scheduling Orders to be revised accordingly. Indeed, it is not uncommon for decisions on the merits to require more time than allotted under the same regulations.³

In this proceeding, SEA and its' counsel chose to wait until the final days of discovery to re-notice four depositions to occur simultaneously with previously scheduled depositions. SM Line certainly appreciates SEA's need for the information and does not oppose the occurrence of these depositions; but as a practical matter, they cannot occur at the times, dates, and locations demanded by SEA. SM Line simply wants time to properly and adequately prepare for the depositions, to allocate personnel and counsel to the depositions, and to ensure access to each witness for the maximum allotment of time under the discovery rules.

There are also policy considerations which favor allowing sufficient time for a full development of the evidentiary record before an agency, rather than enforcing strict adherence to a particular schedule. See *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines — Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002)(policy and responsibility of Commission and, by delegation of authority, presiding judge, to inquire into and consider all relevant facts; of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits their positions, is the need to ensure that justice is served and all relevant facts are considered by the Commission). Strict adherence to a schedule should not override these policy considerations. See also, *Anderson International Transport and Own Anderson — Possible Violations of Sections 8(a) and 19 of the*

³ Some recent examples of this include FMC Docket No. 15-11 (complaint filed November 16, 2015, FMC decision now due October 18, 2021); FMC Docket No. 17-05 (complaint filed May 23, 2017, initial decision issued May 24, 2019, Commission decision issued July 26, 2021); FMC Docket No. 19-02 (complaint filed December 20, 2018, initial decision issues March 30, 2021, case stayed from June to November of 2020).

Shipping Act of 1984, 31 S.R.R. 1091 (FMC 2009) (citing policy considerations discussed in Hudson as basis for reopening the record).

Moreover, SM Line is filing its' Response to SDSA's Motion to Quash. If the Commission approves SM Line's subpoena to go forward, SM Line will also require an extension for obtaining and reviewing the documentation provided by SDSA. Therefore, there is additional need in this proceeding for an extension.

Lastly, SM Lines also notes that the experts, who come at the tail end of discovery, are going to be burdened with rushing expert reports within only a few days of the last depositions⁴, exchange reports and then prepare rebuttal reports - all before potentially giving their depositions and completing discovery on February 9, 2024. The experts have other clients they must serve as well. The fast-approaching deadline does not promote helpful expert reports, proper review of all materials, and the critical thinking necessary for the experts on both sides to give their advice.

While this is the second request for an extension, SM Line respectfully submits this request is modest, reasonable, and necessary under the circumstances. Furthermore, Respondent believes that good cause has been demonstrated to extend the deadlines in the Scheduling Order dated October 30, 2023 ("Scheduling Order"). SM Lines accordingly proposes the following revisions to the Scheduling Order to complete the fact and expert discovery:

⁴ This is particularly true in this case as the most senior and knowledgeable witnesses will come last in order.

Task	Old Date	New Date
Complete fact depositions.	January 19, 2024	February 9, 2024
Expert discovery begins.	January 22, 2024	February 12, 2024
Close of all discovery.	February 9, 2024	March 11, 2024
Complainant's brief, proposed findings of fact, and appendix.	March 15, 2024	April 19, 2024
Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.	April 15, 2024	May 15, 2024
Complainant's reply brief and responses to proposed findings of fact	April 29, 2024	May 29, 2024

CONCLUSION

For the reasons explained above, additional time is needed by the parties to conclude these last-minute depositions. SM Line accordingly requests that its motion extending the Scheduling Order be granted. SM Line is available for a hearing at the earliest possible date should the Hon. A. Chintella deemed it necessary.

Montgomery McCracken Walker & Rhoads LLP

/s/Wook Chung

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Dated: January 12, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of January 2024, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
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Federal Maritime Commission
Presiding Administrative Law Judge
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